Intellectual capital

The knowledge within a company that is used to improve business performance is known as its intellectual capital.

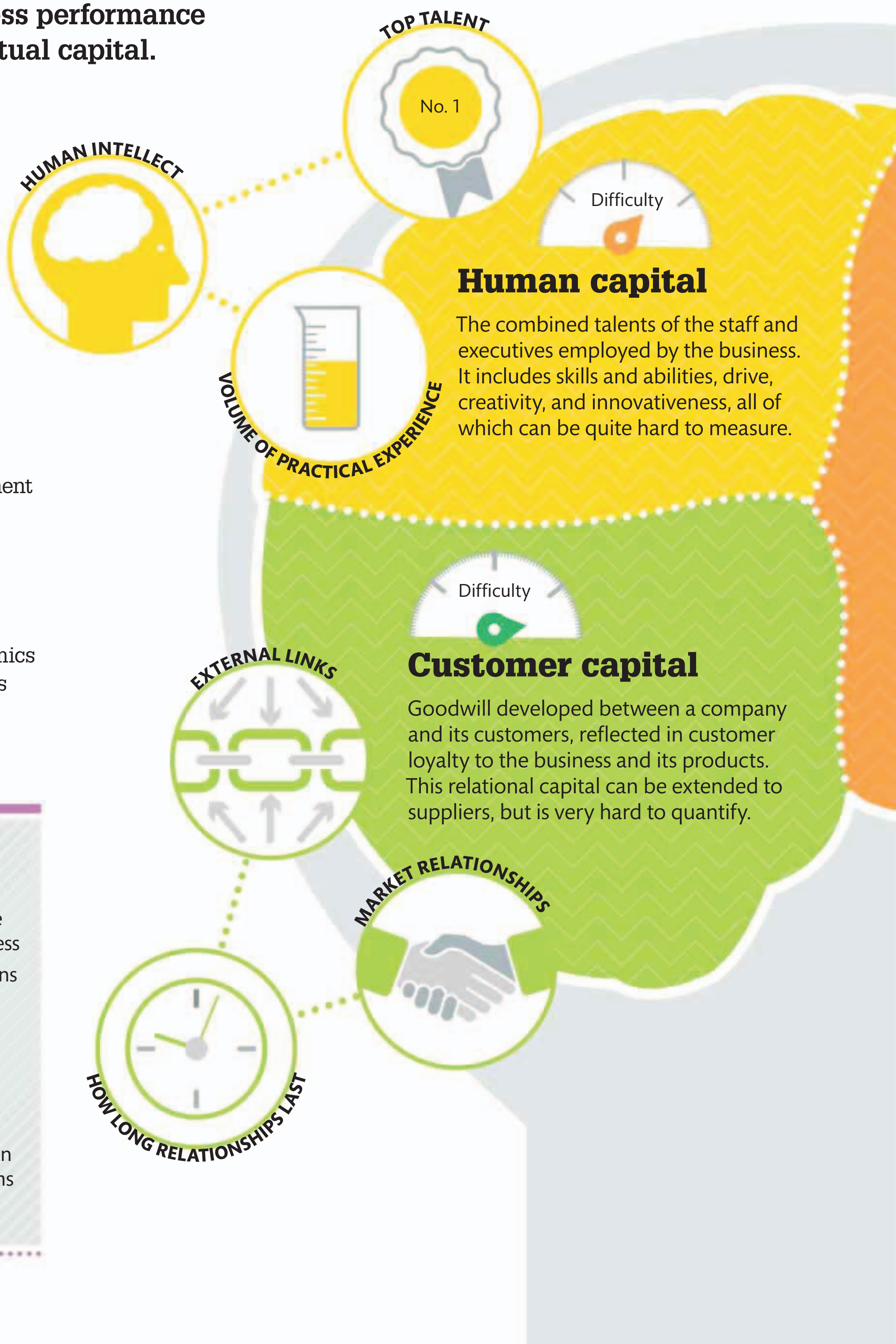
How it works

Every business has capital, which refers to the physical, tangible assets that appear on the balance sheet of its financial statements.

A business also has intellectual capital—the knowledge and skills inside the company. This collective know-how is hard to quantify and measure, but it is essential to a company's ability to generate revenue. For instance, management must provide training and a handover period for new staff so that human capital does not go down when people leave the company, taking their expertise with them. Management academics have identified three main kinds of intellectual capital: human, structural, and customer.

✓ NEED TO KNOW

- **Strategic capital** A company's knowledge of its market and the business model needed for success
- **Intellectual property** Creations or inventions that are legally recognized as belonging to a particular entity or individual on a balance sheet
- **Intangible capital** All knowledge assets belonging to a business or organization; can be audited under various systems (*see far right*)



Human capital

The combined talents of the staff and executives employed by the business. It includes skills and abilities, drive, creativity, and innovativeness, all of which can be quite hard to measure.

Customer capital

Goodwill developed between a company and its customers, reflected in customer loyalty to the business and its products. This relational capital can be extended to suppliers, but is very hard to quantify.